

TENTATIVE RULINGS
Judge SHEILA RECIO, Dept. W8

Law & Motion is heard on Fridays at 9:30 a.m., *unless specially set.*

CIVIL COURT REPORTERS: Department W8 does not provide the services of an official court reporter for law and motion hearings. Please see the court's website for rules and procedures for court reporters obtained by the parties.

POSTING TENTATIVES: Department W8 endeavors to post tentative rulings for law and motion hearings by 5 p.m. on Thursdays. **Do NOT call the Department for a tentative ruling if none is posted.** The court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been prepared.

SUBMITTING ON THE TENTATIVE: If ALL sides intend to submit on the tentative ruling, please advise the Department's clerk or courtroom attendant by calling (657) 622-5908. If so advised, the tentative ruling shall become the court's final ruling and the prevailing party shall file and serve a Notice of Ruling and if appropriate, prepare a Proposed Order pursuant to Rule 3.1312 of the California Rules of Court. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

NO APPEARANCES: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court will determine if the matter is taken off calendar, the tentative ruling becomes the final ruling, or a different order is issued at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

REMOTE APPEARANCES: Department W8 conducts non-evidentiary proceedings, including law and motion via Zoom through the court's online check-in process available through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings>. All counsel and self-represented parties appearing for such hearings **must check-in at least 5 minutes before** the 9:30 a.m. hearing on Friday.

The court encourages the parties and attorneys to take advantage of remote appearances for non-evidentiary hearings to reduce travel time, parking costs, and potential hearing delays. However, keep in mind that potential technological or audibility issues could arise when using remote technology, which may require a delay of or halt the proceedings. To help

avoid such, please log in and test your equipment in advance of the hearing. Also, if technological or audibility issues arise during the proceeding, please call **(657) 622-5908**.

All remote video participants shall comply with the court's "**Guidelines for Remote appearances**", found at <https://www.occourts.org/system/files/guidelinesforremoteproceedings.pdf>.

IN-PERSON: Parties preferring to appear in-person for a law and motion hearing may do so, consistent with Section 367.75 of the Code of Civil Procedure and Orange County Local Rule 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

August 28, 2026

#	Case Name	
2	Patno vs. Crestbrook Insurance Company	<u>Motion to Be Relieved as Counsel of Record</u> (x2) The court GRANTS attorney REGINA SPURLEY's (of LAW OFFICES OF REGINA SPURLEY) unopposed motions to be relieved as counsel for (1) Plaintiff JAY JONES and (2) Plaintiff DESIREE PATNO. The court finds moving attorney meets the requirements set forth in Rule 3.1362 of the California Rules of Court. The orders shall not become effective until the filing of proofs of service showing service of the order on the clients. Moving attorney to give notice and file proofs of service within 5 days.

5	Hess Rehabilitation & Chiropractic Centers, Inc. vs. California Lawyers Group	<u>Motion to Quash Service of Summons</u> The court GRANTS the unopposed motion to quash service of summons filed by Specially Appearing Defendants CALIFORNIA LAWYERS GROUP, INC. and MITRA CHEGINI, individually and dba CALIFORNIA LAWYERS GROUP, INC. The motion is well-taken and unopposed. The court further notes that the court file does not contain a properly issued Summons. According to Defendants, Plaintiff filed a substantially similar lawsuit. Plaintiff is ORDERED to immediately file a Notice of Related Case, as required by Rule 3.300 of the California Rules of Court. Specially Appearing Defendants to give notice.
6	Lister vs. Valley Post-Acute And Rehab LLC	<u>Motion for Leave to Amend (re First Amended Complaint)</u> The court GRANTS the unopposed motion filed by Plaintiff KATHLEEN ROSE LISTER, by and through her Successor-In-Interest HATTIE DAVIS's for leave to file a proposed First Amended Complaint ("FAC"). Plaintiff seeks leave to file a proposed FAC that would add a third cause of action for violations of Health and Safety Code section 1430(b) (FAC ¶¶ 82-90) and add references to the Third Cause of Action in the Prayer (see FAC Prayer at ¶¶ 4-5). (See Garcia Decl., Exh. 1.) According to the motion, the proposed changes result from discovery responses. The motion appears to be timely, is unopposed, and no apparent prejudice exists to Defendants. The scheduled trial is not until 12/6/27.

		No later than five days from the hearing, Plaintiff shall <u>separately</u> file the proposed FAC, which is attached as Exhibit 1 to the Garcia Declaration. The FAC is deemed served as to Defendants VALLEY POST-ACUTE AND REHAB, LLC and VPR OPS, LLC as of the date of the 8/28/26 hearing. These Defendants shall have 30 days to respond to the FAC. Plaintiff SHALL serve the FAC on Defendant SEQUOIA HEALTH CARE LLC (“Sequoia”) within 10 days. Sequoia was previously defaulted on the original Complaint on 5/8/26. The default is of no moment once the FAC is filed. Plaintiff to give notice.
7	Orange County Sanitation District vs. Jackson	<u>Motion to Bifurcate Trial</u> (ROA 344) The court DENIES the motion to bifurcate filed by Defendants DONALD A. ISKIERKA, VIRGINIA L. ISKIERKA, PHILIP J. RIZZO, ANDREA L. RIZZO, HOOMAN K SHAHIDI, NAZANIN GHAFARIZADEH, BEVERLY K. UERLING, DEREK J. UERLING, MARK GERSON, MYRA GERSON, OLEG VOLF, YANINA GINZBERG, DEAN E. WEST, DEBORA A. WEST, FRANCIS LA PLACA, GAETANO LA PLACA, SHERI LA PLACA, KOZO TERAJIMA, FRANK H. CLARKE III, GERARD F. MCCABE, CATHERINE F. MCCABE, and HELEN J. LOWELL. Defendants request an order phasing the trial such that the claims of Plaintiff and Cross-Defendant ORANGE COUNTY SANITATION DISTRICT (the “District”) against certain defendants with “limited improvements” (versus “major permanent improvements”) would be tried first. Defendants appear to define “limited improvements” as those “without pools or major permanent improvements allegedly within the easement area.” (Mov. Pts. & Auth. at p. 2, lines 9-10.) Defendants define “major permanent improvements” to include “pools, sheds, hardscape, or the like over the easement area.” (Mov. Pts. & Auth. at p. 5, line 14.) Of the 12 properties at issue, six apparently fall under the “limited improvements” category

		and the other six fall under the “major permanent improvements” category. (Mov. Pts. & Auth. at p. 5, lines 10-17; citing to Defendants’ response to separate statement, ROA 319.) Defendants fail to show that the requested bifurcation would promote judicial economy or avoid jury confusion. A determination of whether a fence on one property will not necessarily eliminate a determination of whether a pool, shed, tree, wall, or fence on another property interferes with the District’s easement rights. Defendants contend that the District lumps all the 12 properties together to create jury confusion. As the properties will be identified by address and owner, it is not evident that the jury will be confused at trial. Plaintiff to give notice.
8	Jaloudi vs. Medi-Syn, Inc.	<u>Motion to Set Aside Default and Default Judgment</u> <u>Motion for Entry of Judgment</u> <i>1. Motion to Set Aside Default</i> The court GRANTS Defendant MEDI-SYN, INC.’s motion to set aside default pursuant to Section 473(b) of the Code of Civil Procedure. Defendant answered the original complaint but did not timely answer the Second Amended Complaint. At Plaintiff ANGELICA JALOUDI’s request thereafter, default was entered on 4/15/26. Soon thereafter, Defendant timely filed the instant motion on 6/3/26, on the grounds that default was entered because of defense counsel’s mistake and surprise. Section 473(b) permits a court to grant relief from a judgment, dismissal, order or other proceeding taken against a party on the grounds of “mistake, inadvertence, surprise or excusable neglect.” (Code Civ. Proc., § 473(b).) Generally, mandatory relief exists upon a showing by an attorney declaration of mistake, inadvertence, surprise or

neglect. (*Leader v. Health Industries of Am., Inc.* (2001) 89 Cal.App.4th 603, 616. See also, *SJP Limited Partnership v. City of Los Angeles* (2006) 136 Cal.App.4th 511, 516-517 [“Relief is mandatory when a complying affidavit is filed, even if the attorney's neglect was inexcusable.”].) Moreover, “because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.” (*Maynard v. Brandon* (2005) 36 Cal.4th 364, 371-372) [internal citation omitted]).

Here, Defendant proffers the declaration of defense counsel EUGENE MATTHEWS that warrants mandatory relief. In a nutshell, defense counsel states the following: He did not originally know why he was served with Plaintiff’s request for entry of default because he did not realize that he was served with a Second Amended Complaint. Defense counsel also repeatedly requested the basis for the request for default, including requesting a copy of the amended complaint.

In response, Plaintiff notes that defense counsel (1) knew that leave to amend had been granted, (2) was present at the 10/31/25 hearing when the court ordered that the amended pleading be filed within five days, (3) received electronic service of the SAC, (4) did not respond for five months, (5) failed to appear at the March 16 status conference at which the court confirmed no answer was on file, (6) received the default request on 4/6/26, and (7) failed to call or follow up before default was entered 9 days later.

Plaintiff also argues that she is entitled to attorneys’ fees and costs. Section 473(b) states,

“The court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties.”

(Code Civ. Proc. § 473(b). See also *Rodriguez v. Brill* (2015) 234 Cal.App.4th 715, 734 [“Whenever relief is granted based on an attorney's declaration or affidavit of fault, the trial court is required by section 473(b) to “direct the

		attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties.”].) Defendant does not contest that Plaintiff is entitled to fees under this section, and the court finds Plaintiff’s requested amount of \$4,700 to be excessive under the circumstances. (See Hammoud Decl., ¶ 15.) The court ORDERS Defendant’s counsel EUGENE MATTHEWS to pay \$1,000 in reasonable compensatory legal fees and costs to Plaintiff ANGELICA JALOU DI. Defendant Medi-Syn, Inc. shall also separately file the proposed Answer (attached to the declaration of counsel) <u>within 5 days</u>. The court notes that the scanned copy of the proposed answer is of poor quality and difficult to decipher. Defendant SHALL file a clear and legible proposed Answer. Plaintiff to give notice. 2. Motion for Judgment In light of the above ruling, Plaintiff ANGELICA JALOU DI’s motion for default judgment is DENIED as MOOT. Plaintiff to give notice. Trial remains set for 4/26/27.
9	Sabroso vs. Express Services, Inc.	<u>Motion to Compel Arbitration</u> As explained below, the court CONTINUES Defendant EXPRESS SERVICES, INC’s Motion to Compel Arbitration to October 30, 2026, at 9:30 am in Dept. W8. Before arbitration can be compelled, the moving party bears the burden of proving the existence of an applicable

agreement and the party opposing arbitration bears the burden of proving any defense. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. [Citation]. A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signatures.’ [Citation.] At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule [3.1330].” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.)

Here, to support the existence of an arbitration agreement, Defendant proffers the Declaration of Harvey H.H. Homsey, the “Senior Vice President of Franchise Systems and Government Affairs” for Defendant. (Homsey Decl., ¶ 1 [ROA 39].) The document attaches an arbitration agreement – Exhibit B. However, the Homsey Declaration was not executed under penalty of perjury under the laws of the State of California. Consequently, the declaration is not admissible pursuant to Code of Civil Procedure section 2015.5. (See *Kulshreshta v. First Union Commercial Corp.* (2004) 33 Cal.4th 601, 612, 618.)

Notably, an admissible declaration is not necessary for Defendant to carry its initial burden, under the unique rules applicable to arbitration. See *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755:

“The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. [Citation]. A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signatures.’ [Citation.] At this step, a ***movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement*** and support the allegation as provided in rule [3.1330].”

(Emphasis supplied.)

As such, the court finds that Defendant met its initial burden.

“If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence....” (*Iyere*, 87 Cal.App.5th at 755.) “To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures.” (*Id.*)

Here, Plaintiff proffers his translated declaration, which complies with California Rules of Court rule 3.1110(g). (See Erazo Decl. ¶¶ 2-7. See also *Detrick v. Shimada* (2026) 120 Cal.App.5th 170, 180 [re requirements for interpreters and translators].)

According to Plaintiff’s Declaration: On 1/16/24, Plaintiff went to the Express Employment Professionals office in Irvine, where Ms. Jazmin Fernandez, an Express employee “updated my information herself using my iPhone.” (Sabroso Decl., ¶¶ 5-6.) “I recall Ms. Fernandez telling me to check all the boxes and click ‘accept.’ At one point, the system failed to respond. Ms. Fernandez asked for my phone, resolved the issue herself, and then handed the phone back to me, confirming that my information was now up to date.” (Sabroso Decl., ¶ 7.)

The above is sufficient to create a factual issue and shift the burden back to Defendant, as it indicates the identified agreement may have been executed by another individual.

Notably, “[t]he opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature.” (*Iyere*, 87 Cal.App.5th at 755.)

While it is true that “an electronic signature has the same legal effect as a handwritten signature,” the signature must still be authenticated. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 843.) “An electronic record or electronic signature is attributable to a person if it was the act of the person.” (Civ. Code, § 1633.9(a).) “The act of the person may be shown in any manner, including a showing

of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” (*Ibid.*)

Within his initial declaration, Mr. Homsey states that “[o]nly an individual using Plaintiff’s unique link could have accessed the Mutual Arbitration Agreement electronically and signed it.” (Homsey Decl., ¶17 [ROA No. 39].) However, as noted above, the declaration is inadmissible and as such, Defendant cannot rely on it to meet its ultimate burden.

While a Supplemental Homsey Declaration was submitted with the Reply Brief, which was properly executed under penalty of perjury under the laws of the State of California (See ROA No. 57), this declaration does not attempt to authenticate Plaintiff’s signature on the 1/16/24 Agreement. Instead, the Supplemental Homsey Declaration states, “On or around January 16, 2024, Mr. Sabroso re-applied to the Express franchise office located in Irvine, California. As with all of his previous onboarding, his completed 2024 onboarding documents, which are, again, all in English, show that he electronically signed each document and inserted certain private and sensitive information in some documents that only he would know.” (Supp. Homsey Decl., ¶ 5 [ROA No. 57].) This statement does not dispute the Declaration offered by Mr. Sabroso or, specifically, the statements which indicate the document was executed by another individual, using his phone.

Based on the documents submitted, the court finds that Defendant failed to authenticate the 1/16/24 agreement.

The arbitrability issue continues however, because the Supplemental Homsey Declaration attaches two new Arbitration Agreements, which were not previously identified (dated 11/9/20, and 6/1/22). (Supp. Homsey Decl., ¶ 3 (ROA No. 57).) These agreements suggest that Plaintiff consented to arbitration, prior to 1/1/24.

It is unclear whether Plaintiff disputes the authenticity of the signatures on these two agreements.

		As these Agreements were not identified by Defendant in its original moving papers, Plaintiff has not had a fair opportunity to respond to them. As such, this motion is CONTINUED to permit both supplemental opposing papers and supplemental reply papers. Plaintiff SHALL have until 10/16/26 to file and serve supplemental opposition. Defendant SHALL have until 10/23/26 to file and serve supplemental reply papers. Defendant to give notice.
11	Harmon vs. State of California (CALTRANS)	<u>Motion to Strike (re First Amended Complaint)</u> The court DENIES in part, and GRANTS in part, the motion to strike filed by Defendant STATE OF CALIFORNIA, ACTING by and through the DEPARTMENT OF TRANSPORTATION's (esa "STATE OF CALIFORNIA (CALTRANS)" (the "State") to portions of the First Amended Complaint ("FAC") filed by Plaintiffs ERIC HARMON and GAL COHEN. Defendant State moves to strike the following from the FAC: Paragraphs 6, 7, 18, 19, 21, 22, and 88, and Prayer for Relief paragraphs C and D. The court GRANTS the motion as to the following: <u>Vicarious Liability</u> Paragraph 88 alleges Defendant State is vicariously liable for the wrongful act of Defendant's officials and Does 1-30 pursuant to section 815.2 of the California Government Code. California authority is clear that "public entity liability for property defects is not governed by the general rule of vicarious liability provided in section 815.2, but instead by the specific provisions set forth in sections 830-835.4. Also, public employees' liability for dangerous public property conditions resulting from the employees' acts or omissions is provided by the special rules and limitations contained in

sections 840-840.6. [Citation.]” (*Van Kempen v. Hayward Area Park etc. Dist.* (1972) 23 Cal.App.3d 822, 825.) Specifically, Government Code section 815.2(c) provides that “a public entity is not liable for an injury resulting from an act or omission of an employee of the public entity where the employee is immune from liability.” Section 840, in turn, provides that “a public employee is [immune from liability] for injury caused by a condition of public property where such condition exists because of any act or omission of such employee within the scope of his employment.” These statutes preclude any assertion of liability against Defendant State based on an act or omission by any state official or employee.

Statutory Damages

The FAC prays for an award of statutory damages. (FAC, Prayer for Relief at ¶ C.)

Plaintiffs argue that the FAC alleges facts supporting “statutory damages” pursuant to Civil Code sections 3281 and 3333. These statutes merely codify common law recovery of compensatory damages, rather than providing for any statutorily created damages. (See Civ. Code, §§ 3281, 3333.)

Attorney’s Fees

The FAC prays for an award of attorney’s fees. (FAC, Prayer for Relief at ¶ D.)

Plaintiffs argue that they are entitled to recover reasonable attorney’s fees under the Private Attorney General doctrine. (See Code Civ. Proc., § 1021.5.) Code of Civil Procedure section 1021.5 provides the court may award attorney’s fees “in any action which has resulted in the enforcement of an important right affecting the public interest if: (a) a significant benefit . . . has been conferred on the general public or a large class of persons, (b) the necessity and financial burden . . . are such as to make the award appropriate, and (c) such fees should not in the interest of justice be paid out of the recovery, if any.” In other words, fees are not recoverable where the primary effect of the litigation is to advance or vindicate a plaintiff’s

		personal economic interest. (See, e.g., <i>Weeks v. Baker & McKenzie</i> (1998) 63 Cal.App.4th 1128, 1170.) Here, Plaintiffs' claims seek to recover only compensatory damages for injuries suffered by the individual plaintiffs. The FAC seeks no relief that would confer a significant benefit on the general public or a large class of persons. The court DENIES the motion as to the following: <u>Remaining Challenged Allegations</u> To the extent Defendant State moves to strike the challenged allegations in paragraphs 6, 7, 18, 19, 21, and 22, Defendant State improperly attempts to invoke a procedural line-item veto. Pursuant to Code of Civil Procedure Section 436 the court may, upon a motion made or at any time in its discretion, strike out "any irrelevant, false, or improper matter inserted in any pleading." A motion to strike, however, is not "a procedural 'line item veto' for the civil defendant." (<i>PH II, Inc. v. Superior Ct.</i> (1995) 33 Cal.App.4th 1680, 1683.) <u>In sum</u>: The court STRIKES the following from the FAC: Paragraph 88 and Prayer for Relief at Paragraphs C and D. The motion is otherwise DENIED. No later than 10 days from the date of hearing, Defendant State SHALL file and serve a responsive pleading to the remaining portions of the FAC. Moving Defendant to give notice.
13	Vierra vs. Zaratzian	<u>Demurrer</u> <u>Motion to Strike</u> OFF CALENDAR as MOOT. Plaintiffs filed a First Amended Complaint on 7/2/26, well before their opposing papers

		were due. Section 472 of the Code of Civil Procedure grants a plaintiff the right to file an amended complaint in response to a demurrer and/or motion to strike directed at the original complaint, if filed and served by the date for filing an opposition brief. As such, the filing of the amended complaint renders both the demurrer and the motion to strike moot since the original Complaint has been superseded and the FAC is now the operative pleading. (See, e.g., <i>State Comp. Ins. Fund v. Superior Court</i> (2010) 184 Cal.App.4th 1124, 1131 [“Because there is but one complaint in a civil action [citation], the filing of an amended complaint moots a motion directed to a prior complaint.”]; <i>JKC3H8 v. Colton</i> (2013) 221 Cal.App.4th 468, 477 [“the filing of an amended complaint renders moot a demurrer to the original complaint”].) Plaintiffs to give notice.
14	Mamola vs. Shen	<u>Motion for Judgment on the Pleadings Joinder</u> The court DENIES Defendants LIHUA SHEN and JUN WANG’S motion for judgment on the pleadings and DENIES the joinder filed by Defendants HOME SERVICE, INC dba SPECTRUM REALTY; KAI YAN KUANG (Doe 1); and LAN GAO (Doe 2). Defendants move pursuant to Section 438 of the Code of Civil Procedure, governing motions for judgment on the pleadings. Like a demurrer, a motion for judgment on the pleadings attacks defects disclosed on the face of the pleadings or by matters that may be judicially noticed. (<i>Alameda County Waste Management Authority v. Waste Connections US, Inc.</i> (2021) 67 Cal.App.5th 1162, 1173-1174.) As explained below, like a demurrer, a motion for judgment on the pleadings should not be filed late in a case. Here, trial is days away, and Defendants’ deadline to

		file a motion for judgment on the pleadings passed long ago. As the court stated previously, Section 438 of the Code of Civil Procedure states inter alia, “No motion may be made pursuant to this section if a pretrial conference order has been entered pursuant to Section 575, or within 30 days of the date the action is initially set for trial, whichever is later, unless the court otherwise permits.” (Code Civ. Proc., § 438(e). See also 8/2/26 Minute Order.) Here, the court issued its pretrial order on 3/11/24 and the initial trial date was 11/10/25. (See 3/11/24 Minute Order.) The instant motion was not filed until 6/11/26, well after the deadline described in Section 438. In sum, the motion and joiner are DENIED. Moving Defendants to give notice.
15	Zhang vs. Chen	<u>Motion for Summary Judgment</u> The court DENIES the motion filed by Cross-Defendants CH MARKET CENTER, INC., d/b/a KW VISION (“KW Vision”) and YUANYUAN SAI, aka OLIVIA SAI (“Sai”) for summary judgment of the First Amended Cross-Complaint (FAXC) filed by Cross-Complainants AMIR NATHAN DAWOOD and SANDY DAWOOD (the “Dawoods”). RJN: Although unnecessary, the court GRANTS the Dawoods’ request to take judicial notice of the court’s 3/8/24 Minute Order. The FAXC alleges the following causes of action against Defendants and Cross-Defendants ZHENJIAN CHEN (default entered), XIAOYU WANG (voluntarily dismissed), Sai, LIANG GUO (voluntarily dismissed), Thomas J. Blank aka Tom Blank, Worldwide Signings, Inc. (WS), and ASHANTI N. CLAR and KW Vision:

1. Negligent Misrepresentation (against Chen)
2. Fraudulent Misrepresentation (against Chen)
3. Unjust Enrichment (against Chen)
4. Conversion (against Chen)
5. Breach of Fiduciary Duty (against Sai and KW Vision)
6. Negligent Misrepresentation (against Sai, Guo, and KW Vision)
7. Fraudulent Misrepresentation (against Sai, Guo, and KW Vision)
8. Violation of Civil Code § 2079 (against Sai, Guo, and KW Vision)
9. Conspiracy (against Chen, Wang, Sai, and Guo)
10. Negligence (against Blank, WS, Clark)

As against the moving cross-defendants, the following causes of action of the FAXC remain pending:

- 5th C/A (breach of fiduciary duty)
- 6th C/A (negligent misrepresentation)
- 7th C/A (fraudulent misrepresentation)
- 8th C/A (violation of Civil Code § 2079)

Moving Cross-Defendants argue that each cause of action asserted against them is merely a disguised indemnity claim and because Sai obtained a judgment against Plaintiff, all cross-claims for indemnity and contribution fail as a matter of law.

The court disagrees.

First, all causes of action alleged against Moving Cross-Defendants appear to be direct liability claims. Cross-Complainants allege that the Moving Cross-Defendants owed Cross-Complainants a duty, which was breached. The duty alleged involves a direct relationship between Cross-Complainants and the Moving Cross-Defendants. The alleged duty was owed to Cross-Complainants and not to Plaintiff Li Zhang.

Second, as noted in the opposing papers, Cross-Complainants are not alleged to be joint tortfeasors with the Moving Cross-Defendants in Plaintiff's third amended complaint. The third amended complaint alleges a

conspiracy between Defendants Zhenjian Chen, Xiaoyu Wang, Thomas J. Blank aka Tom Blank, Worldwide Signings, Inc. Ashanti N. Clark, Yuanyuan Saki aka Olivia Sai, and Lian Guo to commit fraud by forging a deed that resulted in the sale of the property to the Dawoods. (TAC, ¶ 77-79.) Plaintiff alleges that the Moving Cross-Defendants are joint-tortfeasors with other defendants. Plaintiff however does not allege that the Dawoods were joint-tortfeasors with the Moving Cross-Defendants. The Dawoods are named as the current title-holder on deeds that Plaintiff wishes to cancel due to the torts of others. "It is well-settled in California that equitable indemnity is only available among tortfeasors who are jointly and severally liable for the plaintiff's injury." (*Stop Loss Ins. Brokers, Inc. v. Brown & Toland Med. Grp.* (2006) 143 Cal.App.4th 1036, 1040.) The Dawoods and the Moving Cross-Defendants are not alleged by Plaintiff to be joint tortfeasors who are jointly and severally liable to Plaintiff.

Finally, given that Cross-Defendants moved for summary judgment, Cross-Defendants bore the burden of completely disposing of every cause of action alleged against them in the First Amended Cross-Complaint. Cross-Defendants failed to identify each element of each cause of action alleged against them, failed to establish how each cause of action was an indemnity claim, and failed to negate an element of each cause of action. To the extent that Cross-Defendants are arguing that they could not be liable to Cross-Complainants and/or that Cross-Complainants did not suffer damages since Sai is not liable to Plaintiff, Cross-Defendants failed to offer sufficient facts or legal analysis as to each cause of action to so establish. "[T]he court cannot summarily adjudicate other issues or claims, even if a basis to do so appears from the papers." (*Schmidlin v. City of Palo Alto* (2007) 157 Cal.App.4th 728, 744). Further, even if Sai is not liable to Plaintiff, there is no explanation as to why KW Vision may not be held liable on each cause of action asserted against it.

None of the cases that Cross-Defendants cite appear applicable:

- In *Allis-Chalmers Corp. v. Superior Court* (1985) 168 Cal.App.3d 1155, 1159, the court of appeal reversed the

trial court's order denying summary adjudication on the issue of an indemnity cause of action because petitioner was not liable to plaintiff. Unlike here, in *Allis-Chalmers Corp.*, an indemnity cause of action was expressly alleged and summary adjudication was expressly sought.

- In *Norco Delivery Service, Inc. v. Owens Corning Fiberglas* (1998) 64 Cal.App.4th 955, “[f]ollowing a settlement between Owens-Corning Fiberglas, Inc., and Seaward Properties, Ltd., the plaintiff in the underlying action, the trial court made a good faith determination and barred all cross-complaints against Owens-Corning, including that of Norco Delivery Service, Inc., under Code of Civil Procedure section 877.6.” (*Id.* at 959.) Norco challenged that good faith determination and also argued that in addition to erroneously dismissing Norco's indemnity and contribution claims, the trial court also improperly barred its independent, direct claims against Owens-Corning.” (*Id.*) The court of appeal found no error as to the trial court's good-faith determination. (*Id.* at 964.) “Following a good faith determination, the judge doubtless may dismiss disguised or artfully pleaded claims for indemnity or contribution—i.e., causes of action purporting to state direct claims but which, in fact, seek only to recover derivative damages.” (*Id.*) But Norco, even after five years of litigation, failed to adduce any evidence of other-than-derivative damages. (*Id.*) “[N]onsettling defendant challenging good faith settlement bears the burden of adducing evidence the settlement was not in good faith....” (*Id.*) “And Norco's failure to adduce any such evidence is dispositive.” (*Id.*) In *Norco*, Norco bore the burden of showing that there was sufficient evidence to support Norco's direct liability claims. Here, on the other hand, the burden is on the moving party to negate an element of the Cross-Complainants' causes of action. The Moving Cross-Defendants do not move on the basis of a “lack of evidence” for each of the Cross-Complainants' affirmative claims. The cases are factually distinguishable.

Similarly, the remainder of Cross-Defendants' legal citations deal with claims that were barred by a good faith determination under section 877.6, the statute of limitations for a cause of action that is misnamed, the notion that a complaint that is sustainable on any theory is

		not vulnerable to a general demurrer, the extent of a res judicata bar to claims, and whether certain claims fall within the boundaries of a particular legislative declaration that a validation statute applies. (Citing <i>Gackstetter v. Frawley</i> (2006) 135 Cal.App.4th 1257, 1274 [Good-faith determination bar]; <i>County of Sonoma v. Superior Court</i> (2010) 190 Cal.App.4th 1312, 1326 [statute of limitations]; <i>Campbell v. Veith</i> (1953) 121 Cal.App.2d 729, 732 [general demurrer standard]; <i>Owl Drug Co. v. Bryant</i> (1953) 115 Cal.App.2d 296, 302 [res judicata bar]; and <i>Davis v. Fresno Unified Sch. Dist.</i> (2020) 57 Cal.App.5th 911, 930 [whether validation statute applies].) None of these cases directly discuss the burden of a moving party on summary judgment and/or whether or not the moving party can circumvent the initial burden of proof by categorically concluding that each cause of action was a disguised indemnity cause of action without legal analysis of each cause of action alleged and/or offering facts for each cause of action. In sum, the court finds that moving parties failed to meet their burden and the motion is DENIED. Cross-Complainants to give notice.
16	Chaudhary vs. Lakeside Maintenance Association	<u>Motion for Summary Judgment and/or Adjudication</u> (Continued from 8/21/26) The court DENIES, in its entirety, Defendants LAKESIDE MAINTENANCE ASSOCIATION (“Lakeside”) and MARK WARD’s (“Ward”) motion for summary adjudication on the Second Amended Complaint (“SAC”) filed by Plaintiff TARIQ CHAUDHARY. Evidentiary Objections: The court SUSTAINS Plaintiff’s objections to Exhibit C in Defendants’ index of documentary evidence and to paragraph 7 of the Mark Ward Declaration (stating “Attached as Exhibit C to the Index of Documentary

Evidence is an email authored by Mr. Tomasyan’s regarding his concerns about the plaintiff’s proposed addition.”) The remainder of Plaintiff’s objections are **OVERRULED**.

The court **OVERRULES** Defendants’ evidentiary objections.

The SAC asserts the following causes of action against Lakeside and Ward, the only named defendants:

1. Declaratory judgment
2. Breach of covenants
3. Breach of the implied covenant of good faith and fair dealing
4. Violation of the Davis-Stirling Act
5. Violation of the common interest development open meeting act
6. Negligence
7. Breach of fiduciary duty
8. Housing discrimination in violation of FEHA
9. Retaliation in violation of FEHA
10. Injunctive relief

Defendants seek summary adjudication on all causes of action except the first and fifth causes of action. Defendants also seek summary adjudication on Plaintiff’s claim for punitive damages.

This action concerns Plaintiff’s condominium unit located at 80 Fairlake in Irvine. (Defendant’s Material Fact (“DMF”) 4.) Defendant Lakeside manages the common interest development. (DMF 6.) From the front of 80 Fairlake, the unit to the right is 78 Fairlake and is owned by Leon Tomasyan and his wife. (DMF 10.) 78 Fairlake is one story and shares a wall with 80 Fairlake. (DMF 11.) From the front of 80 Fairlake, the condominium to the left is 82 Fairlake and is owned by Defendant Mark Ward, who is Lakeside’s current president. (DMF 12.)

In November 2023, Plaintiff submitted a Home Improvement Application with drawings of improvements he proposed. (DMF 13; Plaintiff’s Material Fact (“PMF”) 47.) Plaintiff is seeking to expand his dwelling in the front,

side, and rear. (DMF 16-31 and Plaintiff's response thereto.)

2nd C/A (breach of CC&Rs)

The second cause of action (for breach of the CC&Rs) is directed at Defendant Lakeside only. The SAC alleges Lakeside breached the CC&Rs by refusing to approve Plaintiff's current Home Improvement Application, improperly seeking to undertake its own architectural review, and seeking to impose additional requirements that are not provided for in the CC&Rs, the WVA Architectural Standards, or the New Lakeside Architectural Standards. (SAC, ¶ 135.)

Lakeside argues that it is entitled to summary adjudication on this cause of action because the CC&Rs forbid Lakeside from allowing Plaintiff to build into the common areas and the yard.

The governing CC&Rs contain several important definitions:

Section 1.10 of the Lakeside CC&Rs defines "**Common Area**" as "**all portions** of the Project or Projects **except the Units** and, without limiting the generality of the foregoing, specifically including all structural projections within a Unit which are required for the support of a Condominium Building, gas, water, waste pipes, all sewers, all ducts, chutes, conduits, wires, and other utility installations of the structures wherever located (except the outlets thereof when located within the Units), the land upon which the structures are located, the air space above these structures, all bearing walls, columns, floors, the roof, the slab foundation, common stairways, window glass and the like. Common Area shall specifically exclude all garage door opening systems and all air conditioning equipment notwithstanding that the foregoing are located in the Common Area." (Pl's Exh. B-1, emphasis supplied [ROA 191].)

Section 1.14 of the Lakeside CC&Rs defines "Condominium Building" as a "separate building containing one or more Unit or elements of a Unit." (PMF 6.)

Defendants read Sections 1.10-1.14 as defining the exterior walls of the unit as a “common area” and as such, arguing that Plaintiff is prohibited from moving the exterior walls. Defendants also argue that these sections prohibit Plaintiff from adding a second level or moving the roof because the “roof” is a common area.

Section 1.37 defines “**Unit**” as the **elements** of a condominium **not owned in common** with the Owners of other condominiums in a Project **and shall consist of a Residential Element together with one or more other Unit Elements** set forth in this Article. (Emphasis supplied.)

Section 1.38 defines “**Unit Elements**” as (1) **Garage**; (2) **Residential Element**, which is defined as that portion of a Unit designed for use as a residence and shall consist of the ***interior undecorated surfaces perimeter walls, floors, ceilings, windows and doors*** or each Residential Element and the space encompassed thereby **and** (3) **Yard**, which is defined as that portion of a Unit designed for use as a yard, recreational, gardening and/or landscaping areas. (Emphasis supplied.)

Defendants read Sections 1.37 and 1.38 as defining Plaintiff’s separate property interest as extending from the paint line into the unit and defining the yard as only for recreational, gardening, or landscaping purposes and not for living and thus prohibiting Plaintiff from moving the common area walls and building into the yard.

Section 10.04 states,

An owner shall have the right to expand or otherwise modify any of his Unit Elements as long as any such Improvements (i) are confined within the boundaries of his Unit; (ii) have been approved by the Architectural Committee; and (iii) have been approved by the Board. If approved by the Architectural Committee and the Board, such Owner shall be permitted to puncture a Condominium Building wall to create an entryway to any such Improvement or to raze and relocate a Condominium Building wall in order to expand the size of an existing room. In addition to any other

requirement of this Article, the Board may require, as a condition of approval, additional documents to include, without limitations, the following:

- (a) a certificate of a structural engineer licensed by the State of California and approved by the Board stating that the proposed improvements will not adversely affect the structural support of the Condominium Building or any other part of the Project;
- (b) building and other governmental permits required for the proposed Improvement;
- (c) a certificate by electrical and plumbing contractors licensed by the State of California setting forth in detail the effect the proposed improvement would have on any Common Area plumbing and wiring.

Lakeside argues that it is entitled to summary judgment because it “cannot permit the plaintiff to build a residential structure into the common areas and the yard.” (Mov. Pts. & Auth. at p. 18, lines 23-24.) Lakeside’s proffered evidence however does not show that the proposed improvements are not permitted. Rather, it appears that the CC&Rs expressly allow an owner to expand or modify any of the Unit Elements (e.g., garage, residential element, or yard) under certain conditions.

Lakeside also argues that the breach of contract cause of action is negated by the California Solar Rights Act. Lakeside contends that Leon Tomasyan, Plaintiff’s other nextdoor neighbor, has objected to plaintiff’s proposed expansion, primarily because the second story expansion would block the sun from his first story solar panels. (DMF No. 39.) This argument relies on an email attached as Exhibit C to the declaration of Mark Ward. The email is from Mr. Tomasyan to “dcwpms@aol.com.” (Ward Decl., Exh. C.) Ward does not lay a sufficient foundation for this email. At any rate, in December 2023, Plaintiff apparently revised the plans to address the concerns with Mr. Tomasyan’s solar panels. (PMF 180.)

Further, Lakeside cites Sections 714 and 4746 of the Civil Code, and Section 25982 of the Public Resources Code in support of its argument that Plaintiff’s contract claim fails due to solar panel concerns.

Section 714 that states that any covenant, restriction, or condition that “effectively prohibits or restricts the installation or use of a solar energy system is void and unenforceable.” (Civ. Code, § 714.) Section 714 does not appear to apply to this matter, as it does not appear to be a prohibition against a homeowner (as opposed to a homeowners association).

Section 4746 relates to a request to install solar panels “on a multifamily common area roof shared by more than one homeowner pursuant to Sections 714 and 714.1” and thus also does not appear to apply to this matter. (Civ. Code, § 4746.)

Public Resources Code section 25982 provides that a person “owning or in control of another property shall not allow a tree or shrub to be placed or, if placed, to grow on that property so as to cast a shadow greater than 10 percent of the collector absorption area upon that solar collector surface at any one time between the hours of 10 a.m. and 2 p.m., local standard time.” (Pub. Resources Code, § 25982.) This provision also does not appear to apply to this matter.

The motion is therefore DENIED as to the second cause of action.

3rd C/A (breach of implied covenant)

“Every contract imposes upon each party a duty of good faith and fair dealing in its performance and its enforcement.” (*Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 683.) A “breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself.” (*Chateau Chamberay Homeowners Assn. v. Associated International Ins. Co.* (2001) 90 Cal.App.4th 335, 345, internal quotation marks omitted.) “It is a settled rule of law that homeowners' associations must exercise their authority to approve or disapprove an individual homeowner's construction or improvement plans in conformity with the declaration of covenants and restrictions, and in good faith.” (*Cohen v. Kite Hill Community Assn.* (1983) 142 Cal.App.3d 642, 650.)

Lakeside argues that the third cause of action for breach of the implied covenant of good faith and fair dealing is duplicative of the second cause of action for breach of the CC&Rs. Lakeside concludes that, because it did not violate the CC&Rs, the implied covenant claim has no merit. (Mov. Pts. & Auth. at p.20, lines 12-19.)

The SAC alleges Lakeside breached the implied covenant “by unfairly interfering with Plaintiff’s rights to his own Property, including by improperly refusing to approve, and unreasonably delaying, his application for reasons outside of its delegated authority.” (SAC, ¶ 140; see also SAC, ¶¶ 141-149.) As discussed previously, Lakeside has not met its initial burden of establishing that Plaintiff cannot establish any particular element of the breach of contract claim. Lakeside has also not established that the implied covenant necessarily fails.

The motion is therefore DENIED as to the third cause of action.

4th C/A (violation of the Davis-Stirling Act)

The Davis–Stirling Act set forth in sections 1350 et seq. of the Civil Code provides general rules for the governance of condominium associations.

The SAC alleges Lakeside violated the Davis-Stirling Act in multiple ways. For instance, the SAC alleges Lakeside “violated California Civil Code § 4360(a) by failing to provide Plaintiff with a copy of the revised New Lakeside Architectural Standards that it adopted on January 16, 2024, at least 28 days in advance of such adoption.” (SAC, ¶ 158.) The SAC also alleges Lakeside violated Civil Code section 4765(a)(2) by refusing to approve Plaintiff’s HIA in an unreasonable, arbitrary, or capricious manner. (SAC, ¶¶ 161-162.) The SAC also alleges Lakeside violated Civil Code § 4765(a)(3) because its decision on Plaintiff’s HIA violates the Fair Employment and Housing Act. (SAC, ¶¶ 165-166.)

Lakeside contends that the cause of action for violation of the Davis-Stirling Act necessarily fails because the Davis-Stirling Act prohibits Lakeside from allowing Plaintiff to

build into the common area. Lakeside cites Civil Code sections 4095 and 4185, which define common area as the entire common interest development “except the separate interests” and “separate interest” as a separately owned unit.

However, as set forth in the CC&Rs, Plaintiff’s Unit includes the residential dwelling, yard and garage. (PMF 208.)

Further, the CC&Rs permit Plaintiff to “expand or otherwise modify any of his Unit Elements” – i.e., his dwelling, yard, or garage – provided certain conditions are met. Lakeside has not met its initial burden that there is no triable issue of material fact as to this cause of action.

The motion is therefore DENIED as to the fourth cause of action.

6th C/A (negligence)

The elements to a cause of action for negligence are: (1) the existence of a duty, (2) breach, (3) causation, and (4) damages. (*Pellegrini v. Weiss* (2008) 165 Cal.App.4th 515, 524.)

Defendants briefly address the sixth cause of action for negligence. For instance, Defendants argue that “[t]he plaintiff alleges that LAKESIDE is negligent because it has refused to approve the plaintiff’s current Home Improvement Application.” (Mov. Pts. & Auth. at p. 22, lines 7-9.) That is partially true, but the SAC alleges that Lakeside was also negligent in other ways. See paragraph 186 [e.g., breach by failing to provide a fair, reasonable and expeditious procedure for making its home improvement decision; by seeking to impose additional requirements that are not provided for in the CC&Rs, the WVA Architectural Standards, or the New Lakeside Architectural Standards] and paragraph 187 [breach by failing to comply with its own Bylaws and other applicable laws, including by failing to provide the required 4-day notice of its meetings, by failing to appoint officers, etc].

The negligence cause of action in the SAC in some ways combines Plaintiff’s other causes of action, including the fifth cause action for violation of the Common Interest

Development Open Meeting Act – which is not challenged by Defendants’ summary adjudication motion. Lakeside thus has not established its initial burden of showing that Plaintiff cannot prevail on his negligence cause of action.

The motion is therefore DENIED as to the sixth cause of action.

7th C/A (breach of fiduciary duty)

The SAC alleges Defendants breached their fiduciary duties to Plaintiff by unfairly interfering with Plaintiff’s rights to his own Property, by seeking to impose additional architectural requirements, by seeking to impose other arbitrary, capricious, and unreasonable requirements, and by failing to comply with Lakeside’s Bylaws. (SAC, ¶¶ 193-194.)

Directors of a homeowners association owe a fiduciary duty to HOA members. (*Coley v. Eskaton* (2020) 51 Cal.App.5th 943, 958 [“The directors of a nonprofit mutual benefit corporation, like the Association here, are fiduciaries who must act for the benefit of the corporation and its members.”]); see also *Ritter & Ritter, Inc. Pension & Profit Plan v. The Churchill Condominium Assn.* (2008) 166 Cal.App.4th 103, 127.)

Lakeside argues that Plaintiff’s breach of fiduciary duty claim necessarily fails because Lakeside cannot allow Plaintiff to build a residential structure into the common areas and into the yard. (Mov. Pts. & Auth. at p.23, lines 1-3.) As discussed above, Lakeside has not met its initial burden of establishing that Plaintiff cannot expand or modify his residential element within the confines of his unit.

Defendants also argue that the fiduciary duty cause of action necessarily fails as to Defendant Ward because, as a homeowner, Ward is “is entitled to have an opinion about the plaintiff’s proposal to build into the common areas and yard in violation of the CC&Rs and Davis-Stirling Act that would be to the detriment to him and his neighbors. Having an opinion as a homeowner regarding the project does not support a cause of action for Breach of Fiduciary

Duty.” (Mov. Pts. & Auth. at p. 23, lines 6-10.) The breach of fiduciary duty cause of action however does not exclusively target Defendant Ward’s conduct in having an opinion. Instead, after Defendant Ward purportedly recused himself from Lakeside’s decision on Plaintiff’s HIA, Mr. Ward wrote “OPPOSED” on Plaintiff’s revised application so other board members were aware of his opposition. (PMF 491-492.) Board member Becky Skelton confirmed that Ward was involved in the decision on Plaintiff’s HIA despite purporting to recuse himself during the board meetings. (PMF 88, 493.)

Defendants have not met their initial burden with respect to the breach of fiduciary duty cause of action.

The motion is therefore DENIED as to the seventh cause of action.

8th C/A (housing discrimination in violation of FEHA) and 9th C/A (retaliation in violation of FEHA)

The SAC alleges that Plaintiff is a racial minority and that Lakeside and Ward’s conduct relating to his home improvement application violates his right to be free from discrimination in land-use practices, decisions, and authorizations. (SAC, ¶138, 203.) The SAC also alleges that Lakeside has retaliated against Plaintiff for attempting to protect his rights. (SAC, ¶1 209.) The eighth cause of action is directed against both Defendants while the ninth cause of action is directed only at Defendant Lakeside.

Defendants argue that the undisputed facts show that the reason Plaintiff’s HIA has not been approved is because Plaintiff intends to build into the common area and into the yard element in violation of the CC&Rs and the Davis-Stirling Act. (Mov. Pts. & Auth. at p.23, lines 20-23.) But as discussed above, Lakeside has not met its initial burden of establishing that Plaintiff cannot expand or modify his residential element within the confines of his unit.

Even if they had met their initial burden, Plaintiff provides sufficient evidence to meet his shifted burden with respect to these causes of action.

Defendants acknowledge that Ward made a statement at a meeting that, in reference to an ongoing construction project, the complex resembled a war zone in Beirut. (DMF 251.) Defendants argue that Plaintiff “agrees this comment was not directed at the plaintiff or his property,” though the deposition testimony cited by Defendants does not show that Plaintiff was asked whether Ward’s comment was directed toward Plaintiff personally. (DMF 251 and Plaintiff’s response.) Although the reference to Beirut may be ambiguous, “the task of disambiguating ambiguous utterances is for trial, not for summary judgment.” (*Reid v. Google, Inc.* (2010) 50 Cal.4th 512, 540-541.)

The motion is therefore DENIED as to the eighth and ninth causes of action.

10th C/A (injunctive relief)

The SAC seeks to enjoin Defendants from withholding approval of Plaintiffs HIA. (SAC, ¶¶ 215-217.) Defendants argue that injunctive relief is a remedy and not a cause of action.

Authority exists for the proposition that injunctive relief is a remedy and not a cause of action. (See, e.g., *Ortiz v. Dameron Hospital Assn.* (2019) 37 Cal.App.5th 568, 572, fn. 2 [“While denominated a ‘cause of action’ in the complaint, injunctive relief is a remedy, not a cause of action.”]; *Allen v. City of Sacramento* (2015) 234 Cal.App.4th 41, 65 [“Injunctive relief is a remedy, not a cause of action.”]; *Shell Oil Co. v. Richter* (1942) 52 Cal.App.2d 164, 168 [“Injunctive relief is a remedy and not, in itself, a cause of action”].)

However, such is not necessarily a proper basis for summary judgment/adjudication. For example, in *Ortiz v. Dameron Hospital Assn.*, 37 Cal.App.5th 568, the court of appeal determined that granting summary adjudication on an injunctive relief claim was not proper, as the claim was derivative of other claims that remain.

Similarly here, other claims remain and summary adjudication would not be proper.

The motion is therefore DENIED as to the tenth cause of action.

Punitive Damages

To recover punitive damages, a plaintiff must prove by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code, § 3294(a).) “[P]unitive damages cannot be awarded against a corporation for conduct of an employee unless a corporate officer, director, or managing agent had knowledge of the employee’s unfitness and disregarded the rights of others (or authorized/ratified the conduct or committed the act of oppression).” (*Myers v. Trendwest Resorts, Inc.* (2007) 148 Cal.App.4th 1403, 1436; Civ. Code, § 3294(b).)

The SAC seeks punitive damages in connection with the sixth cause of action for negligence against Lakeside, the seventh cause of action for breach of fiduciary duty against Lakeside and Ward, the eighth cause of action for housing discrimination against Lakeside and Ward, and the ninth cause of action for retaliation in violation of FEHA against Lakeside. The SAC alleges that Lakeside and Ward’s conduct was conscious, deliberate, and/or undertaken in bad faith, and constitutes oppression, fraud, and/or malice, and is therefore also seeking any available punitive and exemplary damages.

A conscious disregard of the safety of others may constitute malice within the meaning of section 3294 of the Civil Code. In order to justify an award of punitive damages on this basis, the plaintiff must establish that the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences. (*Taylor v. Superior Court*, 24 Cal.3d at 893.)

To establish, “willful and conscious disregard,” plaintiff must establish that defendant: (1) was aware of the probable dangerous consequences of his or her conduct; and (2) willfully and deliberately failed to avoid those consequences. (*Taylor v. Superior Court* (1979) 24 Cal.3d 890, 895-896.) Usually, “despicable conduct” refers to

circumstances that are vile, base, or contemptible that it would be looked down on and despised by reasonable people. (*College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) “Consequently, to establish malice, ‘it is not sufficient to show only that the defendant's conduct was negligent, grossly negligent or even reckless.’ (*Flyer’s Body Shop Profit Sharing Plan v. Ticor Title Ins. Co.* (1986) 185 Cal.App.3d 1149, 1155.)” (*Bell v. Sharp Cabrillo Hospital* (1989) 212 Cal.App.3d 1034, 1044.) “The mere carelessness or ignorance of the defendant does not justify the imposition of punitive damages.... Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff's rights, a level which decent citizens should not have to tolerate.” (*Lackner v. North* (2006) 135 Cal.App.4th 1188, 1210, citations and quotation marks omitted.)

Civil Code section 3294 was amended to add the requirement of "despicable conduct" to the malice and oppression prongs. Conduct carried on with a willful and conscious disregard of the rights or safety of others, but that is not “despicable,” will not support an award of punitive damages. (*College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.)

“Despicable conduct” is conduct that is so “vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*Scott v. Phoenix Schools, Inc.* (2009) 175 Cal.App.4th 702, 715.) Such conduct has been described as “having the character of outrage frequently associated with crime.” (*Id.*)

“In the usual case, the question of whether the defendant's conduct will support an award of punitive damages is for the trier of fact, ‘since the degree of punishment depends on the peculiar circumstances of each case.’ [Citations.] [¶] But the issue may be resolved on summary judgment, giving due regard to the higher proof standard. While ‘the “clear and convincing” evidentiary standard is a stringent one, it does not impose on a plaintiff the obligation to “prove” a case for punitive damages at summary judgment.’ (*American Airlines, Inc. v. Sheppard, Mullin, Richter & Hampton* [(2002)] 96 Cal.App.4th [1017] at p.

		1049 [117 Cal.Rptr.2d 685].) ‘However, where the plaintiff's ultimate burden of proof will be by clear and convincing evidence, the higher standard of proof must be taken into account in ruling on a motion for summary judgment or summary adjudication, since if a plaintiff is to prevail on a claim for punitive damages, it will be necessary that the evidence presented meet the higher evidentiary standard.’ (Ibid.; [citations].) ... [S]ummary judgment ‘on the issue of punitive damages is proper’ only ‘when no reasonable jury could find the plaintiff's evidence to be clear and convincing proof of malice, fraud or oppression.’ (<i>Hoch v. Allied-Signal, Inc.</i>, [(1994) 24 Cal.App.4th 48] at pp. 60-61 [29 Cal.Rptr.2d 615].)” (<i>Johnson & Johnson v. Superior Court</i> (2011) 192 Cal.App.4th 757, 762, quoting <i>Spinks v. Equity Residential Briarwood Apartments</i> (2009) 171 Cal.App.4th 1004, 1053.) Here, Plaintiff has produced evidence showing a triable issue of material fact as to whether Defendants consciously disregarded Plaintiff’s rights, such as by approving Ward’s own HIA to expand his residential dwelling while refusing to approve Plaintiff’s HIA. (PMF 697-707.) Summary adjudication on Plaintiff’s claim for punitive damages is therefore denied. Plaintiff to give notice.

